Executives
Alfred Penny - President of Bimbo Bakeries USA Inc
Daniel Javier Servitje Montull - Chairman, CEO & Member of Advisory Board
Guillermo Jorge Quiroz Abed - Chief Administration & Financial Officer and Member of Advisory Board

Analysts
Alexander Reid Robarts - Managing Director and Head of Latin American Consumer Staples Equity Research Team
Isabella Simonato - Vice President
Laura Martinez - Credit Analyst
Lauren Elaine Torres - Latin American Food and Beverage Senior Analyst
Luca Cipiccia - Research Analyst
Pedro Leduc - Senior Analyst

Presentation

Operator
Good morning, everyone, and welcome to Grupo Bimbo's Second Quarter 2015 Results Conference Call. If you need a copy of the press release issued yesterday, it is available on the company's website at www.grupobimbo.com.

Before we begin, I would like to remind you that this call is being recorded and that information discussed today may include forward-looking statements regarding the company's financial and operating performance. All projections are subject to risks and uncertainties, and actual results may differ materially. Please refer to the detailed note in the company's press release regarding forward-looking statements.

I will now turn the call over to Mr. Daniel Servitje, Chairman and Chief Executive Officer of Grupo Bimbo. Please go ahead, sir.

Daniel Javier Servitje Montull
Hello, everyone. It's a pleasure to speak with you again. Our CFO, Guillermo Quiroz; BBU President, Fred Penny; and several members of our finance team are here with us today.

I will start with the key highlights of the quarter, and at the end, we will take any questions you may have.

This was a solid quarter for the group with double-digit growth in sales, EBITDA and operating income as well as a record second quarter EBITDA margin in Mexico. Let's go over the performance by region, starting in Mexico.

For the second consecutive quarter, consumption and spending picked up, including a ramp-up in the traditional channel. By leveraging that momentum through a range of commercial actions, volumes rose more than 3% in the period and net sales grew 5.3%. A few highlights from the quarter include outperformance in the bread category, specifically whole grain breads as well as in buns, cookies,

pastries and salty snacks, notably the Chip’s and Takis power brands. The Marinela and SANISSIMO brands also did very well this quarter.

On the operating side, we put a keen focus on a combination of actions to strengthen performance, which included manufacturing improvements, admin expense savings, cost reduction initiatives and distribution network modernization. For example, we just finished a long-term project of converting from trays to baskets, which enhances our distribution capabilities by significantly reducing the weight load of the trucks and optimizing space throughout the vans and the trailers. All of these led to an EBITDA margin of 17.6%, up 170 basis points over the last year and our highest ever for the second quarter.

Moving on to the U.S. and Canada. Net sales increased 31.5% in peso terms, mainly reflecting the Canada Bread and Passion acquisitions as well as the benefit of a strong dollar. Keep in mind that we acquired Canada Bread at the end of May of last year. So going forward, we will primarily be looking at organic growth.

In the United States, there was pressure on volumes, which mostly mirrored the actions in our group-spend [ph] programs as well as the price increases in the mainstream business implemented since the end of the first quarter. Categories like sweet baked goods, breakfast and snacks continue to grow, while the Little Bites brand outperformed in the market. We launched the Healthfull brand and Nature's Harvest brands nationally. Both of these innovations come as part of our portfolio development ment to expand our better-for-you products.

BBU restructuring expenses were 67% lower than the second quarter of last year. Furthermore, we have generated over $80 million in savings year-to-date, helping strengthen EBITDA in the quarter.

Looking forward, our energy will concentrate on creating a world-class D&Z [ph] operation and a sustainable cost-reduction culture as well as boosting promotional effectiveness and optimizing the product portfolio through real-time tools and enhanced analytics.

Just briefly regarding Canada, there has been an important change in management. Barry McLean decided to leave the company, and we're pleased to announced the appointment of Alejandro Pintado as the Bimbo Canada President.

Alejandro is a seasoned executive within Grupo Bimbo, with previous roles in our LATAM operation and more recently as Vice President, Corporate Sales, and the President of Asian operation. The acquisitions of Passion and the 2 production plants in the Western part of the Canadian country are going smoothly. As for performance, Canada posted a soft quarter primarily due to volume pressures related to industry dynamics and integration expenses, specifically in IT systems, which we will continue to have for the rest of the year.

In Latin America, sales rose more than 10% in the quarter due to organic performance, the Supan acquisition in Ecuador and the favorable foreign exchange translation in certain currencies. Despite difficult economic conditions in several key countries in the region, which is putting pressure on the consumption environment, we continue to focus on making our current routes more productive, that is adding on more points of sale per route as well as initiating a restructuring program in some of our distribution network and manufacturing assets in particular countries. Additionally, we will deploying an IT platform that will enhance our go-to-market efforts in the whole region.

Lastly, in Europe, we still see the benefit of the Canada Bread acquisition in terms of its contribution to sales in the U.K. In Iberia, the bread category remained stable, and we experienced competitive pressure in the cake category, where there was increased promotional activity from other players in the market. On the operating side, the numbers primarily reflected the start-up costs of our newest and most efficient plant in Guadalajara in Spain, which will generate efficiencies in the region. We also started to optimize distribution in the region with the change also from trays to baskets.

Earlier this month, we announced an agreement to acquire Panrico in Spain and Portugal, excluding the branded bread business in a EUR 190 million transaction. To give you a bit more color on the acquisition, let me walk you through the rational of this deal and more details on the integration process.

Panrico is one of the leading baking companies in the Iberian Peninsula, generating about EUR 280 million in revenues per year in the sweet baked goods and buns and rolls categories. Our annualized revenues in the Europe region will increase by approximately 70%, and we will significantly strengthen our profile on the Iberian market in terms of the product portfolio, our distribution reach and our manufacturing facilities.

Furthermore, there will be substantial synergy opportunities that we expect to capture during the integration process on the order of EUR 40 million to EUR 50 million in the next 30 months after completion. One-time integration cost to capture those synergies will come in around EUR 70 million, and we expect EBITDA margin to be, at the end, in the range of 9% to 10%. This transaction is conditional upon receipt of customer and regulatory approvals and is expected to close during the fourth quarter of 2015.

I should add that last week we completed another small acquisition in Canada, Italian Home Bakery, which produces artisan, fresh and frozen breads, with sales of around CAD 11 million in the Toronto area. The company has one production plant, and while small, it reinforces our presence and production capacity in this part of Canada and the U.S., complementing our frozen business.

As for our balance sheet, we closed the quarter at 3.1x total debt-to-EBITDA ratio and 2.9x net debt-to-EBITDA. These figures largely reflect the impact of the Mexican peso depreciation, which increased as a value in Mexican pesos of the U.S. dollar-denominated debt. It is important to highlight that we actually paid down $104 million of debt since year-end 2014.

Looking ahead, at the second half of the year, expenses in the U.S. will decline and Mexico is on a steady course of growth. Latin America, we expect to close the cap from the first half of the year with the plants I already mentioned.

Thank you for your time this morning and, we will share our progress with you in the coming quarters. At this point, Gary, I have conclude my remarks, and we are ready for the question-and-answer session.

Question and Answer

Operator
[Operator Instructions] The first question comes from Lauren Torres of UBS.

Lauren Elaine Torres
A question on the breakdown of your sales performance, particularly in Mexico and the U.S. I appreciate the details that you did give on Mexico. I think you mentioned more than 3% volume growth. Curious to get your impression on the consumer, is this somewhat the right growth rate for you? I think we're hearing a lot of Mexican companies talking about maybe focusing more on price versus volume. So I was curious how you think about remainder of the year on the balance of volume versus price. And then conversely in the U.S., you mentioned that there were some pressure on volumes as a result of price initiatives. Can you talk a little bit about that as far as what you're seeing with respect to competitive pricing? And I assume you're not going to want to disclose your plan, but how do you view the environment and how do you compete under these circumstances?

Daniel Javier Servitje Montull
Thank you very much, Lauren. I will talk about the Mexican market, and I'll let Fred expand on the U.S. story. So on Mexico, I would tell you that we're happy with the sort of the trends and the progress that we've made on all fronts. The marketplace still is not booming, but we have been recovering, in general, in all channels. And what I have to say is that we were benefited by the lower commodity costs, but on the other side, we have been impacted by the change -- rate. Fortunately, we had some hedges in the first -- on the exchange rate on the first half of the year. So gradually, we will be hit by this dollar effect, which will put a little bit of pressure on our margins. Having said that, regarding your question on prices or volumes, as it is right now, we're comfortable with our margins and we will continue to focus more on expanding our efforts in penetrating the different opportunities that we see currently in the different categories and channels in the market. So we hope to have a steady course in the next couple of quarters in Mexico. And up to you, Fred, for the second.

Alfred Penny
Yes, thanks, Daniel. Good morning, Lauren. Yes, I'd say the following on the volume pressures. Primarily, it's been -- we've seen it in mainstream bread, traditional breads, led really by private label, which we're a major provider of private label, and private label has continued to be -- to trend negative in the category. So that's been one of the volume pressures. And on the branded side, it's really been in our mainstream branded business where we -- as I said in prior calls, we've been working on getting more efficient trade promotions into the marketplace, which is both about depth and frequency and also some front-line pricing which we took at the end of the quarter. That's against the backdrop of, I would say, a soft consumption category, the overall bread categories trending 2% to 3% down, depending on what part of the U.S. you look at. And so I think it's going to take some time for the category and the consumer to adjust, and we're watching that closely. Having said that, our premium bread business, Arnold Brownberry [ph] , Oroweat brands are solid, and we look for improvement out of that segment of the business. And as Daniel noted, sweet baked goods and breakfast have continued to grow well for us and are performing well. So on balance, we've seen some softness, but it's really been driven on the mainstream side, and we're just going to have to work our way through that in the coming quarters.

Laura Martinez
Can I just ask that as a follow-up on the mainstream side in the U.S.? Is this activity getting worse on a quarter-over-quarter basis, or it's kind of what we've seen over the last couple of quarters?

Alfred Penny
I wouldn't say it's necessarily getting worse, but from a pricing standpoint, we've really only been into it for, call it, barely 3 months, which is really not a lot of time for the consumer to fully adjust and react. And

so we're -- if we need to course correct, we'll course correct, but certainly, we're going to keep a close watch on it.

Operator
The next question comes from Luca Cipiccia with Goldman Sachs.

Luca Cipiccia
I have a follow-up on Mexico just to understand. You've shown quite a significant improvement in distribution, operating expenses, and I was hoping to get more details on how sustainable that is as we look forward for the rest of the -- considering that, as you say, maybe some of the gross margin tailwinds will not be as strong and we've seen that happening already in the second quarter, so maybe some direction on that front. And then secondly, on the U.S., maybe if you can remind us how large -- what percentage of sale comes now for from the faster-growing category, snacks, breakfast, maybe just as a reference to understand how they can compensate for the weakness in the bread categories that you referred to before.

Daniel Javier Servitje Montull
Yes. Well, I would say that we're happy with our cost-reduction efforts. We also benefit in Mexico on the administrative side from reductions that we have been making on our IT efforts that were already deployed in Mexico and that's we're now deploying them in the rest of the systems. So what you see here in lower costs on the admin side, hopefully we will start seeing them in the next years in the rest of the operations. So I would say that's there to stay as well as all the manufacturing efficiencies that we've been gaining in having a more productive operation here in Mexico zone. The key things in Mexico to watch is: one, we will be able to continue to grow our volumes, which we're hopeful we will; and the cost containment measures on mitigating or reducing the effect of the exchange rate on the commodity side. So we will look positively at the next 2 quarters, but those are the 2 things to watch, Luca.

Alfred Penny
Good morning, Luca, just a quick on your question on the business composition in the U.S. It's roughly 50-50 split between mainstream private label food service and the remaining pieces of our business, the premium segments.

Luca Cipiccia
And the growth GAAP that you referred to, I mean, can you give us a range? You referred to declines in the bread category. But when you say snacks breakfast is growing, can you give us an idea what type of level of growth that we're talking about?

Alfred Penny
No, I'd rather not get that specific.

Operator
The next question comes from Isabella Simonato with Bank of America Merrill Lynch.

Isabella Simonato
My first question is to you on Mexico. If you could understand that in the second half, as I said, Daniel, you should have more pressure from the weaker peso, what is sort of the price increase you expect to do in the second half? And what's the expected reaction in terms of volumes? And second, if you could

provide a little bit of more details about how much is the restructuring cost in Canada and when they're going to end?

Daniel Javier Servitje Montull
Yes, on the first part, the -- we're not foreseeing right now any price increases. We feel that we can manage through with our efforts to grow our volume and that compensate with the impact of the exchange rate. On the second part, what we're doing is -- Canada is just basically in the integration phase, and we're still not -- have not done the conversion to our ERP system, which will be happening in the next 6 to 8 months. And so that's part of the impact, and it is -- we're including this cost as we speak, but it will probably in the $10 million to $15 million range. So that's what we're expecting as well as also starting to get some of the integration activities in the manufacturing side going. We will be -- as it was announced, we will be closing a plant in Halifax in the next month, and we're improving our facilities in the Atlantic side of Canada as well.

Operator
Your next question comes from Alex Robarts with Citi.

Alexander Reid Robarts
I just had a couple of medium- to long-term questions here, and I want to start out on the manufacturing side. When we think about, right, your rate of CapEx, how you've been investing in modernizing the plants? And I think, mainly about North America, but I know you've been investing heavily in Mexico. And you've told us that this is a 3-year project or at least 3 years with the CapEx getting into this $650 million range. How should we think about the return on this incremental manufacturing targeted CapEx? Is it a gradual process where you see efficiencies coming out of that footprint in the next couple of years? Is there certain metrics that you're looking for where we can see a, perhaps, a step-down in the cost structure and a clear increase in the manufacturing efficiency? So maybe you could map out how you see the returns and benefits, right, of this incremental CapEx from your manufacturing footprint standpoint. If you could start with that, that'd be helpful.

Daniel Javier Servitje Montull
Alex, good morning. Well, what I can tell you is that we don't have just one manufacturing plant. The manufacturing investments are focused on the opportunities and realities of each of the organizations, and all of them are at different stages in this journey. What I can tell you, for example, is, in our Mexican operations, we have enough capacity. We have been keeping it updated. And what we have there is, sometimes, investments in particular regions where we can really gain efficiencies and productivity. When you go to Latin America, you will find countries where we need to expand into additional capacity because we are already full with our alliance and there is organic growth that demands new investments so that then the play there is different. And in the U.S., as maybe we have mentioned before, when we did this integration of the different companies that we've been acquiring over the years, we found that in some places and some companies, there has been an underinvestment stage there and we have to put a lot of money into upgrading our facility so that they could run well. Additionally, we sometimes take the opportunity to close plants and leverage with new technology and lower cost per unit as we did in the Northeast not long ago. So the plan, every investment is thoroughly analyzed and has to be approved with a perspective of really enhancing the manufacturing competitiveness of the different organizations. So when we talk about this number, we're not talking investing that on an evenly based amount in the different organizations. So it's whatever they required to be at and play well in the long run at the different -- in the different organizations. So all in all, I would say that I'm looking -- I have a very positive outlook

on the investments that we have made and the ones that we have in front of us, and they are working as planned.

Alexander Reid Robarts
Okay. I mean, is it fair to say then, as we understand it, there is this 3 years -- last year, this year and next year, as I understand it where you've had that incremental CapEx investment in manufacturing, among other things, but is it fair to say that once we get at the end of next year, we could perhaps see that CapEx rate as a percentage of sales normalized downward? Or how should we kind of think about that -- I guess, assuming obviously no acquisitions, but how should we think about that CapEx investment rate over the medium term?

Daniel Javier Servitje Montull
Yes. In -- say for example, in the U.S., which has been a focus for us on renewing and investing there, certainly, we'll get to a stage where we'll have lower investments than the one that we have had, but we might hiked them in other regions as needed, no? So I cannot give you a ballpark figure because I think it depends on the nature of which of the organizations under their growth path or not. Now if things are stable and we don't do anything else, we might probably see a reduction on the CapEx. But I wouldn't like to commit to a number now, because it's -- I mean, we have to see what's the outlook for the growth of these different regions.

Alexander Reid Robarts
No, fair enough for sure. Let's go just to the second question, again, with this one medium-term horizon. I mean, as we look at the 4 main geographical -- geographic segments at Bimbo, I mean, Europe is the one that has, at least in my view, been more recently invested in with the capital increase in Spain a couple of years ago, this Canada Bread addition that brings the U.K. on board. And now with Panrico, which as you say -- I mean, it's an increase of 70% in the Iberian sales. How should we think about Europe over the next few years? In other words, can we get into a kind of a mid-single-digit level of EBITDA margin? Are there certain opportunities that perhaps you can share with us? Or is it really just kind of integrating what you've got and making what you have that much more efficient -- I'm sorry, the tag along here is that curious to know why a EUR 70 million investment, the conversion of that is $40 million to $50 million in savings over 30 months? I mean, just if you could kind of give us an -- maybe a little bit color around that conversion rate? Is it really a matter of closing plants and dismissing workers that creates that kind of rather big upfront cost? Or is it just maybe something else ? Sorry, kind of along question, but again, it's really about Europe over the next 3 years.

Daniel Javier Servitje Montull
Yes. Well, Alex, I won't be giving a lot of detail of the integration plans. It's still early in the game of all the process of going through the regulatory authorizations, and we're working with the Panrico owners as we speak in all this transition. But obviously, there are redundancies in the whole value chain, and what we aim is really to improve significantly the performance of this region. And we think it's feasible. It's not going to be without a lot of work and a thorough plan to integrate both companies, and I envision that it's going to be a very good company now that we could have both the bread side of the business and the sweet baked goods side of that business combined and having very good synergies in the distribution part of our value chain zone. What we're seeing is that it's going to require a lot of detail work, but at the end of the day, it's going to result in a very healthy business for the company. And that's our outlook. We will be concentrated in Europe and the countries where we are right now, in the Iberian Peninsula, Spain, Portugal, and what we have in the U.K., but there is a lot of work on that region to get us where we want

to be.

Alexander Reid Robarts
And a mid-single-digit margin range is something that could be a medium-term goal? Or is it too early to tell or kind of gauge that?

Daniel Javier Servitje Montull
Well, what we are seeing is that we hope to be in the high single EBITDA margin after this integration. So that's our goal, definitely.

Alexander Reid Robarts
For Europe, high single or...

Daniel Javier Servitje Montull
Yes. Yes.

Operator
[Operator Instructions] The next question comes from Pedro Leduc with JPMorgan.

Pedro Leduc
Just quickly on Latin America. We've seen -- they've been prolonging, let's say, the recovery that we previously hoped and we're seeing at the beginning in the last year. But could you elaborate on what has driven this backdrop that we're seeing profitability and how -- what is really required to bring it back up? I mean, we've seen you deploy capital in other regions. How is capital being deployed here as well?

Daniel Javier Servitje Montull
Yes, Pedro, good morning. Well, I think the region -- let me go through the different divisions that we have out there. And I would say that in Latin Centro, 9 countries, a lot of work, a lot of issues in some of the countries, a huge devaluation in Colombia and Venezuela, and ramp-up of production in new lines in Ecuador. But all in all, I would say that, that region is performing well. In Brazil, we're making a lot of progress in our project. We are actually also in a very difficult environment growing volumes, and we are happy with the progress that we're making. But still, we have a lot of opportunities there as we explained in the past quarters. And the Latins were part where we are -- I would say, that's where we are having some problems. Also, difficult situations in the economies of some countries like Argentina and in particular in Chile, we're working our way in those country zone. The region, as you all know, doesn't have the commodity boom that helped it in the past 10 years, and then the exchange rate hit it harder than the rest of the other regions. So I think we're working our way through the microeconomics of each country and finding the opportunities with targeted plans. And I would say that the big issue in the region that is also impacting all the costs is the launch of our new IT platform on the commercial side, which -- it's having a higher cost in all divisions, and this will be something that it's in the roll-up for the remainder of the year and maybe for the first quarter of the year, but it's part of our suite of solutions that will enhance our performance in the commercial side. That's something that we are already through in Mexico and that we're seeing some benefit, as we explained before.

Pedro Leduc
Interesting, and then just a follow-up on the balance sheet. Fair to assume that you would be -- you're still aiming to close 2015 well below the 3x that you now reached? Or with these M&As and the facts and --

should we stay closer to this level is what is your goal internally?

Guillermo Jorge Quiroz Abed
Yes, good morning. This is Guillermo Quiroz. Yes, we are still pursuing that goal. Our actual or projection now show that we are going to be closing in the level of close to 2.9x.

Operator
This concludes our question-and-answer session. I would like to turn the conference back over to Daniel Servitje for any closing remarks.

Daniel Javier Servitje Montull
Well, thank you all for your time today and please do not hesitate to contact us with any further comments or questions you might have, and we look forward to speaking to you soon.

Operator
The conference is now concluded. Thank you for attending today's presentation. You may now disconnect.

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